

If income does not come near in explaining the affluence of the Scottish ancestry group in America, what factors do shed light on this phenomenon? There are several fundamental factors.

First, Scottish Americans tend to be frugal. Given a household's income, there is a corresponding mathematical expectation of level of consumption. Members of this group do not fit such expectations. On average, they live well below the norm for people in various income categories. They often live in self-designed environments of relative scarcity. A household of Scottish ancestry with an annual income of \$100,000 will often consume at a level typical for an American household with an annual income of \$85,000. Being frugal allows them to save more and invest more than others in similar income groups. Thus the same \$100,000 income-producing household of Scottish descentsaves and invests at a level comparable to the typical American household that annually earns nearly \$150,000.

In the chapters that follow, we reveal the highest prices typical millionaires reported paying for suits, shoes, watches, and motor vehicles. A significantly greater number of millionaires with Scottish ancestry reported paying less for each item than the norm for all millionaires in the sample. For example, more than two-thirds (67.3 percent) of Scottish millionaires paid less for their most expensive motor vehicle than the norm for all millionaires surveyed.

Because they accumulate wealth, the Scottish-ancestry affluent have wealth to pass on to their offspring. Our research reveals that Scottish offspring typically become economically and emotionally independent even as young adults. Thus, they tend not to drain their parents' wealth.

Members of the Scottish-ancestry group have been able to instill their values of thrift, discipline, economic achievement, and financial independence in successive generations. These values are also typical traits among most self-made millionaires.

SMALL POPULATIONS

Often small-population groups are underrepresented in studies of the affluent. Yet many contain high concentrations of wealthy households. What small groups in particular? We estimate that all of the fifteen small-population ancestry groups shown in [Table 1-2](#) have at least twice the proportion of millionaires than the proportion for all U.S.